

INTRODUCTION

MULTI-DISCIPLINARY CASE STUDY

Multi-Disciplinary case study involves the presentation of multifaceted problems facing a firm. These cases are models, simulations of real life problems facing organizations at various points in time, which require solution. It should be understood that these cases, and the real life situation which they mirror require in depth multi-disciplinary analytical skills in order to provide solutions to the problems.

The analyst must have the capability of applying adequate skill, and ingenuity of the precaution problem(s) at hand. In most cases, the solution may require specialist knowledge in managerial, non-managerial fields and multi-disciplinary approach.

Required knowledge for case analysis at all multi-disciplinary case study examinations, include but not limited to the following

- a. General management
- b. Operations management
- c. Personnel management
- d. Information management (MIS)
- e. Financial management
- f. Research and development
- g. Financial accounting
- h. Management and cost accounting
- i. Quantitative techniques

STEPS TO ANALYZING A CASE

1. **Problem identification:** - This involves the determination of problems contained in the case study for which solution have to be provided.
2. **Problem definition:** - this involves the studying of the problem intensively so as to determine the nature. It is only when the problem is properly defined and analyzed that suitable solutions can be designed.

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3. Generation of alternative courses of action that can provide solutions to the identified problem(s)
4. Selection of the most suitable course(s) of action that can best resolve the problem(s)
5. Recommendation of the selected course(s) of action and communication of same to management inform of an appropriately prepared report.

A solution should be dear, creative, convincing concise and lucid. The provision of solution must be made after the student must have read the case at least three times.

TOOLS OF ANALYSIS

Analysis of cases requires both qualitative and quantitative tools.

QUALITATIVE TOOLS: - Qualitative tools are used to analyze cases in areas where it is necessary to assign non-numerical values. They are used to supplement quantitative tools. In multi-disciplinary case studies, analysts may have to go beyond application of quantitative tools where numerical values are assigned to determine the success or otherwise, strength/weakness of the enterprise, but look into the quality of management and the enterprise as a whole.

These involve mainly analytical, assumptions and conclusion based upon the student's technical knowledge and perception of the situation. Shallow knowledge will lead to shallow judgment, hence the students must be wed grounded in all financial areas of business.

Aspects of qualitative tools include:

- a. Market analysis
- b. Product life cycle evaluation and decisions
- c. Management style
- d. Pricing strategies
- e. Defense strategies
- f. Advertising strategy
- g. Public relations and business environment

- h. Industry structure and competitive rivalry
- i. Generic strategies
- j. Organizational resources, people and culture
- k. Business ecosystem
- l. SWOT analysis.

QUANTITATIVE TOOLS: - in most cases, financial information will be presented which will require the analyst skill in the use of quantitative tools, using figures presented in financials and other statements to measure the performance of the enterprise.

These refer to tools of financial analysis, statistical analysis, operations research and decisional analysis that can be employed in providing solutions to case study problems.

Quantitative tools include:

- a. Costing techniques, such as
 - Marginal costing and contribution analysis
 - Cost volume profit analysis/Break even analysis
 - Standard costing
- b. Investment appraisal and capital budgeting decision tools
- c. Quantitative techniques, such as
 - Linear programming
 - Regression analysis
- Product portfolio analysis and Boston cancelling group matrix approach.

BASIC QUESTIONS TO ASK IN CASE ANALYSIS

- a. Who is who in the case?
- b. How is the organization managed and structured?
- c. What are the deficiencies in managing quality goals?
- d. What is the effect of management style/quality on organizational performance?
- e. What is the organization culture?
- f. What is the organization like?

- g. What functions/departments are in place? Any conflict?
- h. How does the firm conduct its operation? What is the result?
- i. What quality control process is in place?
- j. Any quality problem?
- k. What is the relationship of the company with its internal customers that is, its workers in the various departments as well as its external customers.

Illustrative short – answers case study

- 1. Certain category of persons cannot be appointed receiver or manager of any property or company list any two of them.
- 2. A company may increase its share capital at a general meeting only by.....
- 3. In petroleum profit tax.....is the free on board at the Nigeria Port of Export as agreed between NNPC and Companies in the petroleum sector.
- 4. In standard costing, the difference between input at standard prices and output at standard price is referred to as.....
- 5. A list of accounts balances at a given date which is prepared to test the arithmetical accuracy of accounting entries is called.....
- 6.is the measure of time it will take to recoup in the form of cash from operations only the original sum invested.
- 7. The use of taxation and government expenditure in order to achieve certain macroeconomic objectives is.....
- 8. Under the cessation rule, the basis of assessment of tax in the penultimate year shall be on.....
- 9. An offer in response to an invitation to treat is known as.....
- 10. Traffic intensity in a simple queue is defined as.....
- 11. State two benefits of zero-base budgeting over the traditional methods of budgeting.
- 12. A situation where workers become more familiar with the tasks that they perform, so that less labour time is required for the production of each unit is referred to a.....

13. The managerial process of deciding in advance what is to be done and how it is to be done is termed.
 14. Profitability index is a means of ranking project in order of attractiveness for capital rationing purposes. How is this calculated?
 15. The fee payable for the use of a mine, patent or copyright which is subject to variation on the unit quantity produced or sold on the use of an assets is
 16. The administration of the income tax laws in each state of the federation is vested
 17. Expenditure on fixed assets with a life expectancy of more than one accounting period is known as
 18. Distinguish between data and information.
 19. In process costing, the unit cost that is established for physical units in term of doses or charges to work applied thereto is referred to as
 20. In a life assurance business, the excess of investment incomes over management expenses and commission is termed
 21. is a segment of a business often called a division that is responsible for both revenue and expenses.
 22. The situation whereby audit staff may be at the clients premises all the year round with no breaks or only occasional short breaks is known as
- The document that essentially governs the external relationship of a company is known as
23. The two broad computer audit approaches are And
 24. On commencement of a new business, the relevant profit for the purpose of tax assessment for the fourth year of assessment is
 25. The difference between the par value of a security and its issue price can either be a or a
 26. A group of companies can have either of two relationships with their holder company, these can be a relationship or an relationship or

27. 2. A Computer-based information system that provides support to a decision-making process is called
28. 3. If cash flows are expressed in terms of the actual number of Naira that will be received or paid on various future dates, which rate should be used for discounting?
29. 1. Which body is empowered to oversee the new policy guidelines on procurement and award of contracts in Government Ministries and Parastatals?
30. 2. What type of imprest is operated from the commencement to the end of a financial year?
31. 3. What document is used in Government to effect transfer from one account to another without the movement of cash?
32. 16. A financial statement prepared by the government to meet extra expenditure not originally proposed is known as
33. Tax attributable to timing difference is known as
34. A company in distress but whose economic worth as an operating entity is greater than its liquidation value should opt for
35. A method by which the number of outstanding shares is increased through a proportional reduction in the par value of the share is called
36. Risk capital invested in a new or young company for research and development and/or growth is referred to as
37. The dividend valuation model where annual dividend growth is expected is given by $K_e =$
38. Public sector audit is principally divided into and
 9. Tangible assets are depreciated over time while wasting assets and intangible assets
6. A lease which runs for considerably less than the useful life of the assets concerned is

Illustration Case Study

ADDALABI COMPANY

Njidda is the financial controller of Addalabi Company who usually prepares cost schedule for every board meeting with the assistance of the Deputy Financial Controller – Mr. Davidson. Prior to the recent board meeting, Njidda and his Deputy had worked hardly in order to produce a meaningful and accurate cost schedule for all board members. Unfortunately his deputy travelled out of the country for other unavoidable official engagement and did not hand over the necessary and relevant cost records to Mr. Njidda.

Njidda a no nonsense man who quickly recommended to the board to fire Mr. Davidson because he did not disclose the following facts about the last year financial data that would enable him complete the cost schedule:

Sales.....	₦000
Opening Stock for the year.....	600
Work in progress (WIP).....	70.4
Finished goods.....	34

Direct labour is taken to be 25% of conversion cost.

Work in progress remained unstable and decreased by ₦10400 during the year.

Gross profit during the year was equal to 45% of total sales.

Manufacturing or production overhead was valued at ₦177,600

Direct labour cost equals to 40% of prime cost. Net profit during the year was also equals half of administrative expenses which was also 2/3 of the amount for selling expenses.

Requirement

- a) You are to assist Mr. Njidda to draft a schedule of cost of goods manufactured and profit and loss account for the coming annual board meeting
 - b) Do you consider the action of finance controller Mr. Njidda reasonable for recommending the immediate fire of his Deputy Mr. Davidson? Q
- CASE STUDY

SUNNEC PLC

SUNNEC Plc, a medium-sized engineering firm has just reported profits of N1,125,000 after tax, interest, preference dividends, and declared an ordinary dividend of 15 percent. Despite the record profits, which maintain the previous pattern of overall growth, but with cyclical fluctuations, the company has been faced with liquidity problems which have restricted its operational flexibility. SUNNEC Plc has received a suggestion for a Merger from MOONLIGHT Plc which is a relatively new company – formed six years previously – and which has had a spectacular and consistent growth in profit and whose products complement those of SUNNEC Plc.

The most recent profits of MOONLIGHT Plc were N1,687,500 after tax and interest, with an ordinary dividend of 10 per cent.

The reason for the suggestion of a Merger given by MOONLIGHT Plc is that they have also been having liquidity problems and that an enlarged size could help overcome these. MOONLIGHT'S initial approach did not go into any detail but simply suggests that exploratory talks should be opened and that to make these talks purposeful they should assume that both Company's profits will increase by 10 percent Price–Earnings in the next period and that for amalgamation purposes a fair Price–Earnings ratio would be 15 for MOONLIGHT Plc and 10 for SUNNEC Plc.

The summary of the most recent Balance Sheets of MOONLIGHT Plc and SUNNEC Plc are as follows:

	MOONLIGHT Plc	SUNNEC Plc
	£	£
Net Assets		
Share Capital:	<u>13,500,000</u>	<u>11,250,000</u>
Ordinary Shares	3,375,000	1,800,000
6% Pref. Shares	-	450,000
Reserves	6,750,000	9,000,000
10% Loan Stock	<u>3,375,000</u>	<u>-</u>
Required:	<u>13,500,000</u>	<u>11,250,000</u>

- (a) Analyse the implications of the suggestion made by MOONLIGHT Plc.
 (b) List FOUR factors that should be considered at this stage in respect of this analysis.

Illustrative Case Study

A. HND II Product Plc is a wholesaler of household. Improvement goods with a network of are deposits spread across the country. It was incorporated some Ten years ago and commenced business there after by trading in household products.

In 2000, the company had to evolve major structural changes in both its operations and ownership to prepare the company for future challenges and growth. The company was changed from a Private Limited Liability Company to a Public Limited Liability Company and the object clause of the company was reviewed to include manufacturing of household improvements products.

The company intends to raise additional £5 billion by public offer and the directors are considering three ways of using the fund. Three products

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(X,Y,Z) are being considered, each involving the immediate purchase of equipment costing A\$5billion. The products are mutually exclusive, and the equipment for each product will have a useful life equal to that of the product with a scrap value.

The financial controller of the company, prepares the following summary for the three products

Year	0	1	2	3	4	5	6	7	IRR%
Product	Net Cash flow (A\$million)								
X	-5000	1500	1600	1450	1600	1900	2300	2600	27.93
Y	-5000	570	1500	3000	3700	2300	-	-	26.81
Z	-5000	3000	2100	3500	580	-	-	-	34.63

The Chief Executive Officer of the company is accustomed to products being appraised in terms of payback period and accounting rate of return, and he is consequently suspicious of the use of internal rate of return as a method of products selection. The company's cost of capital is 20%.

The Auditors Hassan Olowe and co are conducting the final audit of the financial statements for the year ended 31 December 2004 in March 2005. The financial statement include the following figures (in A\$000)

The profit and loss account for the year ended 31/12/2004 was as follows:

Turnover	N	N
Gross trading profit before taxation		<u>117,000,000</u>
Less administrative expenses		13,404,200
Salaries and wages		1,642,500
Medical expenses		204,150

Repairs and maintenance	864,520	
Provision for doubtful debts	72,108	
Industrial training	84,620	
Legal expenses	152,480	
Depreciation	932,122	
Electricity, water and telephone	510,030	
Rent and rates	221,840	
Postage and stationery	82,110	
Audit fee	<u>1,500,000</u>	<u>(6,266,480)</u>
Net trading profit		7,137,720
Add profit on sales of fixed assets		<u>4,880</u>
Retained profit before tax		<u>7,142,600</u>

The following other information are relevant:

- The figure of legal expenses is made up of

Retainers fees	N
Collection of debts	48,300
General advice to the company	3,210
Acquisition of a new lease	1,480
Stamp duty on increase in share capital	2,680
	<u>96,630</u>
	<u>152,480</u>
- Provision for doubtful debts include N65,000 being a general provision
- Repairs and maintenance includes an amount of N168,500 being the cost of erecting a new gate to the factory.
- The auditors discovered the following:
 - The wages caption (with 62 employees) was found to have using weak control.

- It is not all the sales representatives' expenses that are supported by vouchers.

Questions

1. Compute the Net Present Value and Payback Period of the three products and advice the Chief Executive on which to undertake.
2. Describe the various ways by which an auditor may be appointed by the company.
3. Compute the adjusted profit of HND II Product Plc.
4. Apart from public offer, enumerate other methods of issuing shares available to the company.

B. Quality Ware Nigeria Limited was incorporated in 1999 with an authorized share capital of ₦250,000,000, divided into 250million ordinary shares of ₦1 each. The company commenced business on January 1, 199. The main object of the company was to engage in fashion specialty retail business. It operated 52 apparels, 20 accessories, 14 departmental stores, 16 clearance clothing stores and 30 youth oriented clothing skills in major cities of the federation and had its head office in Abuja.

The company attained a position of leadership and an outstanding reputation for service. Sales persons attention to the customer, selection of goods, product return policy and amenities to make shopping an enjoyable experience are acknowledge to be extraordinary with the company. Capitalizing on this trend setting customer service to differentiate itself from competition, the company has grown aggressively while major competition chains have not.

After many years as a regional retail chain servicing the entire Nation in early 2000's, the company started a major expansion into neighboring countries, growth in Southern, Northern, Western and Eastern part of the country was steady through late 1990's, and in 2003, the company started a move from Northern regional focus to that national retailer with opening of stores in Togo. As a result of growth in number of stores grew 75% for fiscal year (fy) 2000 through 2010. Sales in fiscal year approximated ₦3.42billion.

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Over the 10 years period from January 1999 through December 2009, the company enjoyed continuous growth in sales. Net earnings grew each year except fiscal year 2003 and 2004 see exhibit 1.

While the company has been profitable every year, it suffered reduced profitability in relative and absolute terms starting with its fiscal year 2004. A continuing recession, particularly in the Southern part of the country, where the company had nearly 50% of the market, is a major factor explaining the reduced profitability. Profits suffered in two ways. recession and demand and sales was less than in the year prior to the consequence and competition for customers forced price markdowns. As a net earnings per store declined relative to ding but at a reduced rate while the last 10. As shown in Exhibit 1, earning per store in fiscal year 2004 though failed to continue upward climb started in 2004.

Exhibit 2 shows total shareholders' equity and other elements of the company's financial structure for the last 5 years.

Quality Ware Nigeria Ltd has no plan to expand its operations outside neighboring countries to other foreign countries. Rather, it plans, as a traditional strategy to acquire a smaller company with strong stable products in objective of the market such as infant and pre-school clothing. The immediate shareholders wealth through merger has been identified as a way of enhancing sustainable competitive advantage aimed at assessing or creating objectives, the director of both Quality Ware Nig Ltd and Clean Ware (W.A) Ltd which commenced operations in the 1980s and had progressively increased its share of the industry agreed to merge.

In order to meet the market expansion for its product, board of directors of Quality Ware Nig Ltd is considering a proposal for acquisition for additional vehicles. The company has owned all its vehicle from the time it was incorporated about 10 years ago. The finance director has decided to buy additional five vehicles which will cost ₦1,500,000. Its estimate of cash flow distribution for the three year life of the vehicle is shown in Exhibit 4.

Quality Ware Nig Ltd started preparing financial budget from November 2008. The management team estimated that they could generate 25% sales growth each year and the total sales figures was broken down month by month by product. The management requests that each department should develop monthly projection of key expenses (administrative, sales, costs, legal etc) for the upcoming fiscal year. After the preliminary budgets were prepared, the Chief Executive Officer consolidated, reviewed and discussed them with these managers, sometimes suggesting changes. The Chief Executive Officer thought that most of his managers were too optimistic in forecasting revenue but that their expenses were analyzing accurate.

The annual budget was neither revised formally throughout 2004 for comparisons made with the actual result. At the end of the year it was discovered that actual performance in terms of profit was far below expectation. Not satisfied with the present system, management resolved that suitable administrative procedures should be introduced to ensure that the budget process is effective and that the budget procedures be tailor-made to the requirement of the company.

Between 2005 and 2009 Quality Ware Nig Ltd's managerial employees, ultimately including top management staff, were involved in a massive fraud by inflating the value of the company's inventory. This in turn enabled the company to borrow money at a lower interest rate and to obtain higher fire insurance settlements than were proper.

After the fraud was discovered by the internal audit department of the company and reported to the chairman, a class action suit was filed by the shareholders, against the company, its management and its external auditors JKL & Co (Chartered Accountant).

Sequel to the above, those involved in the fraud were dismissed. By now, new management was constituted to operate the company, but a second suit against the external auditors on behalf of the company for breach of contract, professional negligence and fraud was brought. The primary defense was used by the auditors was that a diligent attempt was

made on the part of the auditors to follow up any indications of fraud, but the combined efforts of a large number of the company's management presented them (auditor) from uncovering the fraud.

Exhibit 1

Average per store performance (Naira in thousands)			
Fiscal year	No of stores	Net sales	Net earnings per store
1999	39	19,710	1,032
2000	44	21,788	925
2001	52	25,036	963
2002	53	30,753	1,376
2003	56	34,290	1,656
2004	58	40,137	2,126
2005	59	45,273	1,948
2006	63	45,935	1,838
2007	68	46,762	1,997
2008	72	47,527	1,897

Exhibit 2

Quality Ware Nig Ltd

Income statement for 2004 – 2008 (Naira in thousand)

	2008	2007	2006	2005	2004
	N	N	N	N	N
Net sales	3,421,979	3,179,820	2,893,904	2,671,114	2,327,946
Cost and expenses					
Cost of sales and					
Related building	2,339,107	2,169,437	2,000,250	1,829,383	1,564,056
Selling, general					
Admin expenses	902,083	831,505	747,770	669,159	582,973
Net interest	44,810	49,106	52,225	49,121	39,977
Service charge income	(86,140)	(87,443)	(84,660)	(55,958)	(57,492)
Total cost & expenses	<u>3,199,860</u>	<u>2,962,605</u>	<u>2,715,588</u>	<u>2,491,705</u>	<u>2,129,514</u>
Profit before taxation	222,119	217,215	178,316	179,409	198,432
Taxation	85,500	81,400	62,500	64,500	75,100
Profit after taxation	<u>136,619</u>	<u>135,815</u>	<u>115,816</u>	<u>114,409</u>	<u>123,332</u>

Exhibit 3

Quality Ware Nig Ltd

Balance Sheet Years 2004 – 2008 (Naira in thousand)

	2008	2007	2006	2005	2004
Fixed Assets	N	N	N	N	N
Plant & equ (net)	824,142	856,404	806,191	691,937	594,038
Others	9,184	7,833	6,019	4,335	3,679
	<u>833,326</u>	<u>864,237</u>	<u>812,220</u>	<u>696,272</u>	<u>597,717</u>
Current Assets					
Stock	536,739	506,632	448,344	419,976	403,795
Debtors	584,379	585,490	558,573	519,656	465,929
Others	98,726	85,516	83,462	71,516	44,262
	<u>1,219,844</u>	<u>1,177,638</u>	<u>1,090,379</u>	<u>1,011,148</u>	<u>913,986</u>
Less current liabilities	511,196	553,903	551,835	489,888	394,699
Total assets	<u>1,541,974</u>	<u>1,487,972</u>	<u>1,350,754</u>	<u>1,217,532</u>	<u>1,063,538</u>
Financed by:					
Issued share capital	81,975	81,975	81,975	81,975	81,975
Profit & loss a/c	923,192	786,673	650,758	534,942	420,033
Long term debenture	536,807	619,424	618,021	600,615	661,530
	<u>1,541,974</u>	<u>1,487,972</u>	<u>1,350,754</u>	<u>1,217,532</u>	<u>1,063,538</u>

Exhibit 4

	Period 1	Period 2	Period 3
Probability	Cash flows	Probability	Cash flows
0.10	800,000	0.10	800,000
0.20	600,000	0.30	700,000
0.40	400,000	0.40	600,000
0.30	200,000	0.20	500,000
		0.10	300,000
Question			

1. Using exhibit 2 and 3, you are required to calculate the following for the years 2004 – 2008
 - a. Earnings per share
 - b. After tax return on sales
 - c. Asset turnover
 - d. Return on assets
 - e. Gearing ratio
2. Given the information contained in the case, you are required to evaluate the investment by calculating the Expected Net Present Value (ENPV) of the project.

Note:

 - a. Probability distributions are assumed to be independent
 - b. 15% is to be used as the cost of capital
 3. You are a partner in JKL & Co (Chartered Accountants). During a meeting recently held by the partners to consider the effect of the pending law suit instituted against the firm by the shareholders of Quality Ware Nig Ltd, it was resolved that you should advise them on the legal position of the firm. You are required to advise JKL & Co (Chartered Accountants).

4. As the finance controller of Quality Ware Nig Ltd, identify and explain briefly the stages involved in the preparation of budgets and separately identify the roles of managers and the budget committee.